

The Smile Jar

Grab the second jar, with sticker, and label it ‘Smile’.

Like the ‘Smile’ account in my Serviette Strategy, the Smile Jar is for saving up for things that will make your kids smile.

The golden rule of wealth is to spend less than you earn.

(A long-term study by researchers from the UK, Canada and the US—the Dunedin Study—starting way back in 1975, followed the development of over 1000 kids. It showed that lack of self-control in childhood was the number one predictor of financial problems—more so than social class or even IQ!)

Here’s the deal: the art of saving is as much a financial technique as it is a character trait.

And *that* is what this jar is all about.

When you ingrain the act of regular, systematic saving, you’re not only creating money ‘muscle memory’—you’re giving your kid a way of looking at the world that will keep them safe, long after you’re gone.

The Give Jar

What do you think we’re going to name the next jar?

If you thought anything other than ‘Give’, you need to tone down the Tim Tams. (Sugar is the new heroin, right?)

This jar is what I refer to as ‘the brat buster’ (we’re going to go *deep* with this in Part II).

Not only do studies repeatedly show that we get more pleasure from spending money on other people than on ourselves, it has even been shown to change the mindset of bratty, self-centred teenagers.

Being kind is a big deal in my family—it’s much more important than money. That’s because if my kids are kind, they’ll be happier, have more meaningful relationships and be decent human beings.